February 24, 2026

Senator Jarrett Keohokalole
Chair, Senate Committee on Commerce
and Consumer Protection
Hawaii State Capitol, Room 205
Honolulu, HI 96813

Senator Carol Fukunaga
Vice Chair, Senate Committee on Commerce
and Consumer Protection
Hawaii State Capitol, Room 216
Honolulu, HI 96813

RE: Letter in Opposition to Hawaii SB 1163

Dear Chair Keohokalole and Vice Chair Fukunaga:

On behalf of the advertising industry, we write to oppose Hawaii SB 1163, as amended by SD 1.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. SB 1163 would ban routine uses of browser information without consent and deviate from typical data privacy legislation by providing no exceptions. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate Committee on Commerce and Consumer Protection ("Committee"). The bill would impede the ad-subsidization of the Internet for Hawaiians, increasing the cost for access to web-based and app-based services, because the bill's language inadvertently limits responsible digital advertising.[2]

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.[3] By one estimate, approximately 17.5% of Hawaii jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.3% by 2029.[4] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

I. SB 1163 would substantially disrupt Internet commerce by mandating an opt-in consent framework that goes far beyond every other state privacy law.

SB 1163 would require explicit consumer consent for any sale or offering for sale of "internet browser information," defining "sale" so broadly that it would encompass nearly any transfer of such data to another business or third party for monetary or other valuable

[1] Hawaii SB 1163 (2025-2026 Session), located here (hereinafter, "SB 1163").
[2] *See* Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at $1,400/Year; Annual Value Jumps More than $200 Since 2016* (Sept. 28, 2020), located here.
[3] S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.
[4] *Id.* at 15-16.

consideration.[5] This would result in an isolated, local marketplace where Hawaiians are inundated with repeat consent requests for routine online activities, creating notice fatigue and significant frustration, while fundamentally changing how Hawaiians access the products and services they rely on through the Internet. This consent-based approach has been tried in other countries and led to widespread consumer fatigue and frustration.

As drafted, SB 1163 would adopt a privacy framework that is out of step with approaches taken by other states, undermine the ad-supported Internet, and disrupt the online marketplace. Data transfers are essential to digital advertising, which supports the broader economy and allows publishers, hotels, airlines, farmers, fruit producers, and myriad other industries to provide content, news, and services for free or at low cost to consumers. Small and mid-sized businesses rely on the very form of digital advertising that this bill would stymie.[6] The opt-in consent requirement in SB 1163 threatens to dismantle this ecosystem, which benefits small businesses and Hawaiian consumers alike. We therefore respectfully urge you to remove the consent requirement for "sales" of "internet browser information" from the bill.

II. SB 1163 should be harmonized with other state privacy laws to foster consistency and clarity for consumers and businesses.

If enacted, SB 1163 would make the state's approach to privacy an outlier in ways that would harm Hawaiians and businesses of all sizes. For example, SB 1163 diverges from other states' consumer privacy regimes and proposals, such as the California Consumer Privacy Act and others, which grant consumers a right to opt out of personal information sales rather than imposing an opt-in consent regime. SB 1163's proposed opt-in consent requirement for internet browser information threatens to impede basic internet functions, such as rendering webpages and allowing Hawaiians to connect with digital products, services, and content.

In addition, SB 1163 omits widely adopted exceptions included in other data privacy laws across the country, including exceptions for fraud prevention, fulfilling consumer requests for products and services (e.g., mapping applications or suggesting the nearest gas station), and compliance with existing laws such as the Fair Credit Reporting Act and the Gramm-Leach-Bliley Act, among others. As a result, many routine and expected data transfers would be treated as prohibited "sales." This is particularly a concern with respect to the bill's proposed restrictions on sale of geolocation data, which is a vital signal in combatting fraud against consumers as well as helping them find their way, for example, to local eateries along hiking trails and myriad other routine and expected uses. We encourage the Committee to focus its efforts on harmonizing the bill with the approach to privacy in the majority of other states. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. If enacted, SB 1163 would subject Hawaiians to an entirely different, and drastically more limited, Internet experience than consumers in other states.

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[5] SB 1163 § 2.

[6] *See* Digital Advertising Alliance, *Summit Snapshot: Data Drives Small- and Mid-sized Business Online, It's Imperative that Regulation not Short-Circuit Consumer Connections* (Aug. 17, 2021), located here.

In addition, compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be $55 billion.[7] Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of $6.2 billion to $21 billion and ongoing annual compliance costs of $4.6 billion to $12.7 billion for the state.[8] Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between $98 billion and $112 billion annually, with costs exceeding $1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.[9] Hawaii should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with the majority of existing state privacy laws.

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[7] *See* State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/media/docs/forecasting/economics/major-regulations/major-regulations-table/CCPA_Regulations-SRIA-DOF.pdf.

[8] *See* Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986.

[9] Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws (finding that small businesses would bear approximately $20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

We respectfully ask the Committee not to advance SB 1163, as its provisions would negatively affect both businesses and consumers alike. Rather than strengthening consumer protections, the bill would deal a substantial blow to the online economy, limiting businesses' ability to responsibly use data to offer Hawaiians access to the products, services, and online experiences they expect and enjoy.

Thank you in advance for your consideration of this letter.

Sincerely,

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